2025 Market Update – October

MEMA Insights Team

Market

- Nearly 600,000 federal employees have been furloughed as economic growth slows due to the ongoing government shutdown (Wells Fargo, 10/14).
- The U.S. real GDP is projected to expand by 2.0% in 2025 and 2.3% in 2026, with growth in Q1 2026 expected to offset the economic losses caused by the government shutdown (Wells Fargo, 10/8).
- FTR attributes the trend of deflated freight demand to stimulation in the electronics, pharmaceuticals, and non-store retail sectors of the economy (Commercial Carrier Journal, 10/14).
- Jefferies Group discloses $715 million in receivables subsequent to the bankruptcy of auto supplier First Brands, exposing the risks of trade financing off the balance sheet (Reuters, 10/8).

Jeffries Financial Group Inc. displayed on the floor of the New York Stock Exchange.

- China's light vehicle market continues to expand, according to GlobalData, with 2025 totals exceeding expectations amid the price war (Just Auto, 10/6).
- The Manheim Used Vehicle Value Index measured an unadjusted 3.4% MoM price drop in the first half of October 2025, a larger than typical change attributable to weak wholesale values and marginally lower consumer sentiment (Manheim, 10/7).
- Following the Novelis aluminum plant fire, several impacted OEMs see supply chain risks. Ford Motor Company trims annual guidance (Reuters, 10/23).

Policy

- Derek Barrs was confirmed by the U.S. senate to head the Federal Motor Carrier Safety Administration (FMCSA) (Commercial Carrier Journal, 10/8).
- Trump strikes a trade deal with Xi Jinping, effectively lowering the tariff rate on Chinese imported goods to 47% overall (CBS News, 10/30).

China's President Xi Jinping met with U.S. President Donald Trump to modify tariff policies.

- Trump extends the formerly short-term rebate on tariffs for domestic automakers to 2030, expanding the offer to truck and engine manufacturers. The new tariffs do not apply to USMCA imports, which will undergo renegotiation next year (AP News, 10/17).
- On November 1, the U.S. will apply a 25% tariff on heavy-duty truck imports, the majority of which arrive from Mexico (Industry Week, 10/6).
- The economy outperformed in Q3 yet rising stagflation and pressures from the government shutdown remain high (KPMG, 10/8).
- The FOMC cut rates by another quarter point on October 29, and more cuts are expected into 2026 (Bloomberg, 10/29).
- The ongoing government shutdown has disrupted several agencies that oversee the auto industry, such as EPA research and inspections, though tariff collection activities have continued uninterrupted (Automotive News, 10/1).
- U.S. to announce Nexperia's China facilities will resume shipments (Reuters, 10/31).
- On 10/15, the U.S. Senate introduced The Diesel Truck Liberation Act to decriminalize noncompliance with the Clean Air Act (CDLLIFE, 10/16).

Technology

- OpenAI and Nvidia are among the major players acquiring additional infrastructure to drive growth toward the $2 trillion annual revenue benchmark needed to meet future AI demand (CNBC, 10/15).
- Swiss in-car gaming company N-Dream to expand products to digital in-cabin experiences (Yahoo Finance, 10/16).
- Nearly six out of 10 employees admit to making mistakes in their work due to AI errors, according to a KPMG study released in April. Further, more than four in 10 are "knowingly using it improperly" at work, the study found (CFO Dive, 4/29).
- Although the implications of AI extend beyond the transportation industry, cars are where people will interact with AI the most in their lifetimes. Like many automakers, GM aims to use available data to enhance user experience, for those who enable it, with AI (Fortune, 10/15).
- Volkswagen AG and BMW AG have reduced production in Germany due to the chip shortage and conflicts with Chinese semiconductor supplier Nexperia (The Detroit News, 10/31).

Strategy

- Daimler Truck and Toyota Motor Co. plan to merge Fuso and Hino under a new brand, ARCHION, in April 2026. The venture will focus on electrification and ADS, with each company holding a 25% stake and the remaining 50% publicly owned (ACT News, 10/13).
- Spain's clean energy network and low manufacturing costs make it a leading contender for BYD's third European plant (Times Live, 10/14).

BYD is looking to produce vehicles for Euroupe locally to avoid tariffs.

- In the first six months of 2025, the U.S. has added over 7,000 fast EV chargers despite expectations for deceleration in the EV sales market (The Wall Street Journal, 10/03).
- To counter expiring EV incentives, Tesla is introducing two new, more affordable models designed for low maintenance and broader access to software features (Just Auto, 10/8).
- A cyber-attack at JLR caused extended production shutdowns, triggering a $2B impact and financial stress for suppliers (BBC News, 10/28).
- Stellantis to add over 5,000 jobs in the Midwest in the next four years with a $13 billion investment, planning to expand production volumes despite tariff challenges (Industry Week, 10/15).
- General Motors announces layoffs for 1,750 Michigan and Ohio employees due to deceleration in the EV market (Fast Company, 10/29).

Presentation Content

- Alvarez & Marsal — Automotive Spotlight
- Cox Automotive — October 14th Auto Market Report
- CSIS — The Global EV Shift
- Kelly Blue Book — Q3 EV Sales Report
- McKinsey & Co. — China Auto Consumer Insights 2025
- McKinsey & Co. — The Big Rethink: An agenda for thriving in the agentic age
- Warner Norcross & Judd — Michigan Supreme Court to Provide Clarity on Enforceability of Requirements Language

MEMA Insights Team

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